



Beer or Whiskey?: Pernod Ricard and Carlsberg Switch

Presented to UK Credit Team
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UK Credit Sales

Private and confidential

Context for the trade

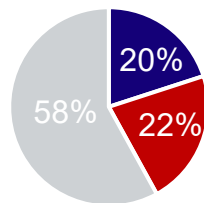
Company information



Description

A leading international brewing company that has a focus on beers and ciders with roots in Denmark. Notable products include Carlsberg Beer, Kronenbourg 1664 and Somersby Cider.

2025 Regional revenue breakdown



■ Central & Eastern Europe & India ■ Asia ■ Western Europe

Recent news

- Morgan Stanley and Bank of America reduced their target price of Carlsberg stock
- Carlsberg and Sapporo to form strategic partnership

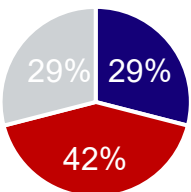


Pernod Ricard

Description

A French producer and marketer of a variety of alcoholic beverages including wines, spirits, whiskies and rum. Notable products include Absolut Vodka, Havana Club, Belaire and Jameson Irish Whiskey.

2025 Regional revenue breakdown



■ Americas ■ Asia and Rest of World ■ Europe

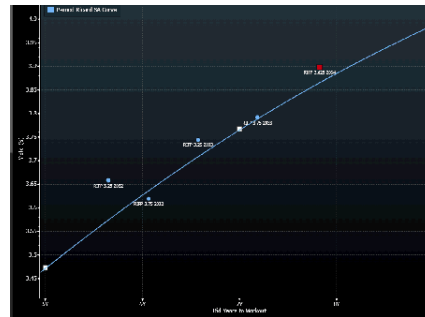
Recent news

- Reports of good progress this year on their operation efficiency programme to reduce costs
- Talks for a merger with Brown-Forman fell through

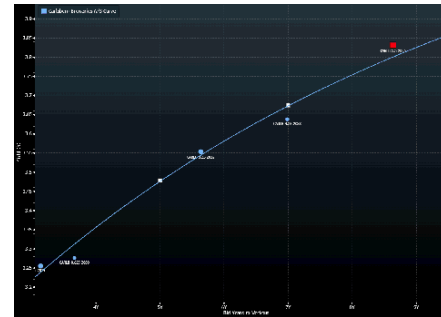
What's the trade and why?

The Idea

Client buys:
RIFP 3.625 05/2034 /B+91 /3.9% /Z+87 /G+93
Client Sells:
CARLB 3.5 02/2035 B+84/ 3.83% / Z+77 /G+82/



RIFP Interpolated Yield curve



CARLB Interpolated Yield curve



Historical spread analysis

Client

Metrics:

- +7 yield, +11 G, +10 Z (all above the 95th percentile YTD)
- 1 Duration
- Same credit rating (BBB+)
- Same rank in the capital structure (Sr unsecured)

Asia's rising middle class and premiumisation:

- "The continuing expansion of China's middle and affluent classes is fuelling greater purchasing power and appetite for premium goods"

RIFP CARLB PGM

EBITDA/IE	5.93	6.72	6.65
ND/EBITDA	3.93	3.77	3.22
FCF/D	0.148	0.115	0.134
D/A	33.95	45.87	34.91

Leverage ratios:

- PGM – Peer Group Median
- EBITDA – Earnings before income, tax, depreciation and amortisation
- IE – Interest expense
- ND – Net debt
- FCF – Free cash flow
- D – Debt
- A – Assets

Mizuho

Current position and liquidity:

- Mizuho is roughly €5mn short in CARLB 35s
- Both bonds have over €800mn issues outstanding

Credit Analyst report:

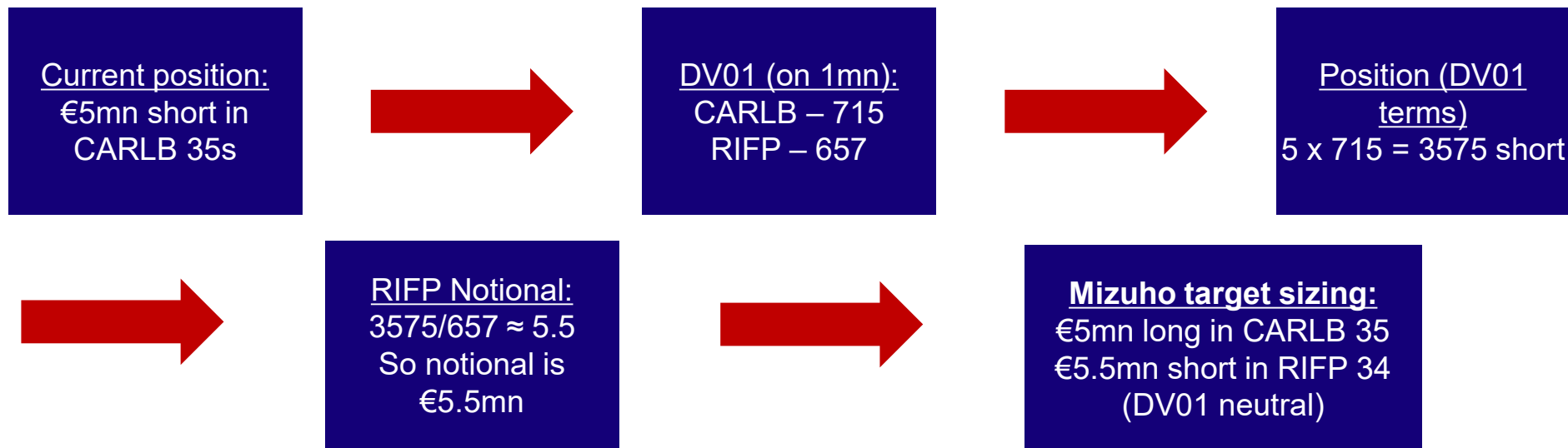
- Market perform recommendation on Pernod Ricard issues
- Going short should not hurt Mizuho's PnL (too much)


Pernod Ricard
Créateurs de convivialité



Logistics of the trade

Position sizing



Stop loss

Timeframe: 1yr
Current G-spread: +11bp
Target G-spread: +4.5bp
Stop loss: +15bp

Expected profit

Extra Carry:
 $5.5\text{mn} \times 0.07/100 = €3850$
Spread convergence:
 $-6.5 \times (657-715) \approx €377$
Total ≈ €4227 (for client)

MIZUHO



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